The Review of Financial Studies

Society for Financial Studies
PO Box 28494
Raleigh, NC 27611
hmueller@stern.nyu.edu

May 3, 2023

Professor Mete Kilic
USC

RE: MS # 20230176, "Leverage Risk and Investment: The Case of Gold Clauses in the 1930s"

Dear Professor Kilic:

I would like to thank you for submitting your paper "Leverage Risk and Investment: The Case of Gold Clauses in the 1930s" to the *Review of Financial Studies*. I sent your paper to three expert referees. One referee, R1, recommends that I reject your paper. The other two referees, R2 and R6, recommend an R&R.

While R1 and R6 make different recommendations, their reports are actually not all that different. In particular, both referees are concerned that the gold clauses are simply proxying for corporate bonds—few bonds didn't have gold clauses, and few (if any) other forms of corporate debt did. This, in conjunction with the fact that firms with bonds/gold clauses are fundamentally different on many observables, and thus also possibly on unobservables, raises the question of whether the investment effects you're identifying are genuinely driven by "leverage risk" due to the gold clauses or by some other confound(s). Two of R1's major comments (#1 & #2) are related to this important concern, and so is R6's comment #1. I should say that this is not a petty identification quibble; much convincing needs to be done on this point to make your paper publishable in the RFS. With that being said, I do want to give you the opportunity to tackle this challenge. Accordingly, I would like to invite you to revise and resubmit your paper for possible publication in the RFS, with the understanding that this R&R is a bit more uncertain than typical. I will listen closely to what R1 and R6 have to say on this issue, that is, should you decide to revise and resubmit your paper.

All three referees have other concerns as well, though, in my view, none is as essential as the one above. R1, in comment #3, challenges you to think harder about the interpretation of your results and, ultimately, the contribution of your paper to the literature. On this note, R2 (in comment #1) suggests linking your paper to the literature on firm-level uncertainty, albeit it wasn't clear to me if the uncertainty is genuinely at the firm level or at some broader level with firms just being differentially exposed to it. R6, in comment #2, complains that you're overclaiming and that some of your statements are misleading. Finally, both R1 and R2 have a good number of concrete suggestions of how to improve the empirics and make the identification tighter; relatedly, R6 writes in his/her cover letter to me: "They should do a panel, show no pre trends, show that there is no endogenous adjustment in di (and if none, I am at a loss as to why good managers in unconstrained firms did not adjust after September 1931)."

Altogether, this isn't going to be a walk in the park. But then, few revisions ever are easy, and I think your paper has the potential to be impactful, so I hope that you will accept the challenge and revise and resubmit your paper for the RFS.

Let me conclude with the standard paragraph for R&Rs. If you decide to revise and resubmit your paper, I will send it back to all three referees. In this case, please include a separate letter for each referee in which you describe how you have addressed his/her comments. It goes without saying that I cannot make any promises at this point. Finally, let me thank you again for submitting your paper to the RFS. I hope the speed and professionalism with which your paper has been handled will make the RFS the first journal to which you will submit your work in the future.

Sincerely,

Holger Mueller
Editor